in the circuits of financial appreciation. The cases of Petrobras, Embraer, Banco do Brasil, BNDES (the National Social and Economic Development Bank) and the private bank Itaú are examples of the above.

Still, what permits a dependent country to differentiate itself within the group of other countries to which it belongs and to displace, in the capital cycle, contradictions coming from the operational laws of dependent capitalism, turning itself into an economy that does not simply transfer surplus value but which appropriates a part of that value within the international division of labour? Marini attributed this role to the state. During the phase of the diversified industrial pattern, the state was responsible for 60% of gross fixed investment (Marini 1977b). This was accompanied by international monetary capital investment, which promoted the merger of banking with industrial capital through the money market (the rise of financial instruments, partnership laws and so on). This process leveraged the standard dynamic business sectors then underway and strengthened the domain of high consumption (automobiles, domestic appliances) through purchases on credit. In the second stage of circulation, luxury consumption and the external market appear as factors of realisation, both counting on state procurement: regressive income distribution increases high levels of consumption, and state incentives and subsidies stimulate the exports of manufactured goods – just as the capture of Latin American markets and those of the rest of the dependent world through foreign policy guarantees sales of produced consumption goods.

At present, under the new export model of specialised production, the extractive industries have replaced manufacturing industry in the forefront of industrial composition. And raw materials emerge again as a sector that dynamises the reproduction pattern, altering the historical form of dependency. These sectors, together with financial appreciation per se along with some few branches of the previous reproduction pattern (especially the automobile industry), are the touchstone of Brazilian capitalism at the beginning of this century. If the automobile, household appliance and armaments industry were, before, factors of realisation of use-value production in foreign, state and luxury consumption markets, today mainly agro-business exports and mineral extraction sectors mobilise foreign markets in the second phase of circulation while the automobile industry continues to find channels of realisation in luxury consumption and in the state (via tax exemptions on industrial products).

At the same time, old and new national capitalist trusts expanded their businesses with BNDES financial support and offerings on the stock exchange (the merger of banking and industrial capital). In any case, Brazilian sub-